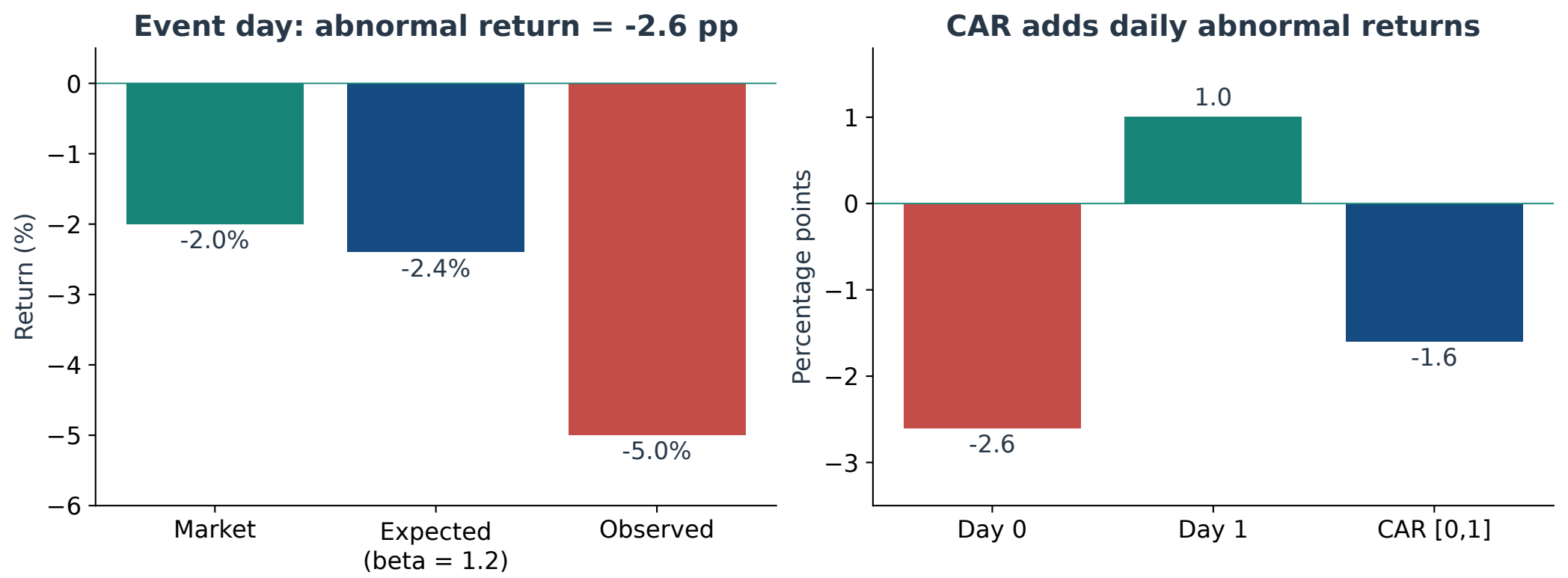
Event day: abnormal return = -2.6 pp
Return (%)
0
−1
−2
−3
−4
−5
−6
-2.0%
-2.4%
-5.0%
Market
Expected
(beta = 1.2)
Observed
CAR adds daily abnormal returns
Percentage points
1
0
−1
−2
−3
1.0
-1.6
-2.6
Day 0
Day 1
CAR [0,1]